JURI 4170/6170: Fintech, Payments, and Digital Assets

ACH & NACHA Rules

Regulation E: The Hale Dispute

> - **Format:** For discussion in class. There is nothing to prepare or submit.
> - **Read Before Class:** The facts below and the materials listed under Materials.

Overview

This case study picks up where we left off with the Summit Fitness authorization form. In class, we looked at what an ACH authorization has to contain under the NACHA Rules and an ODFI's origination agreement. Here, we turn to what happens when a consumer disputes the debits that follow, and to Regulation E, the federal rule that governs a consumer's rights against his own bank.

As you read the facts, pay attention to how Regulation E and the NACHA Rules apply to the same debits but to different parties, and to where they may point toward different answers. The questions at the end are the ones we will explore together in class.

Materials

- **Consumer Financial Protection Bureau, *Regulation E, 12 C.F.R. Part 1005*, with Official Interpretations.** Available at https://www.consumerfinance.gov/rules-policy/regulations/1005/. The staff commentary in Supplement I (the "Official Interpretations") is where much of the practical answer lives, so read it alongside the rule text. Treat this as your authoritative source.
- **Western Payments Alliance (WesPay), *The Regulation E Book: Guidelines for ACH Compliance* (rev. Jan. 2007).** I'm also including this workbook because you may find it helpful in working through the questions. It is dated: it was last revised in 2007, before rulemaking authority moved from the Federal Reserve to the CFPB, so it cites the old Part 205 rather than Part 1005, and it predates later amendments to both Regulation E and the NACHA Rules. Use it as a guide, and confirm anything you rely on against the CFPB site.
- **Summit Fitness, *Recurring Payment Authorization*.** The form we reviewed in class.

The Facts: The Hale Dispute

David Hale has a personal checking account at Cumberland Bank. He is enrolled in e-statements, which Cumberland sends on the 2nd of each month. He rarely opens them and checks his balance in the app instead.

In March 2026, David gave his daughter Maya, 19, a voided check so she could set up automatic rent payments for her summer sublet.

In late May, Maya joined Summit Fitness on the Premier plan ($59/month). She filled out Summit's Recurring Payment Authorization form (the one we reviewed in class) using the routing and account numbers from the voided check, and she signed on the "Signature of Member" line. She didn't tell her father.

Summit's bank, Ridgeline Bank, originated the following ACH debits to David's account. Each appeared on his statement as "SUMMIT FITNESS."

Debit date	Amount
June 1	$59
July 1	$59
August 3	$59
September 1	$64
October 1	$64

Summit raised Premier dues effective September 1. It did not send members any notice of the increase.

On Tuesday, October 6, David noticed the Summit debits in his app and called Cumberland: "I've never set foot in a Summit Fitness. I didn't authorize any of this. I want it all back, and I want it stopped."

The call-center representative told him three things:

> 1. *"The June and July charges are past 60 days, so there's nothing we can do on those."*
> 2. *"For the rest, you'll need to contact the merchant first."*
> 3. *"If you come into a branch, you can sign a fraud statement for the recent ones."*

That evening, Maya admitted what she'd done. David called Cumberland back the next morning: "Okay, it was my daughter. But I never told her she could join a gym on my account."

All parties, facts, and figures in this exercise are fictional and created for classroom use.

Questions We'll Explore in Class

1. **Coverage.** Are these debits "electronic fund transfers" to an "account" of a "consumer" under Regulation E? Who is the "Receiver" under the NACHA Rules, and is that the same person who signed the authorization?
2. **Authorized or unauthorized?** Were these debits unauthorized under § 1005.2(m) and its commentary? Does it matter that David gave Maya the voided check, but for a different purpose? Is a voided check, or an account and routing number, an "access device"?
3. **The representative's three statements.** How does each hold up under Regulation E? Given what David now knows, can he truthfully sign a statement that the debits were unauthorized?
4. **Liability.** Assume the debits were unauthorized. What is David's liability for each of the five debits under § 1005.6? What would Cumberland have to show to shift any of the loss to him? For which debits is his October 6 call a timely notice of error under § 1005.11? Does an untimely notice end the analysis?
5. **The September increase.** Does the $64 debit change the analysis? Does your answer depend on whether you concluded the debits were authorized?
6. **Going forward.** The next debit will post on Monday, November 2. What can David do to stop it, through whom, and by when? Is revoking the authorization different from a stop-payment order?

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